to regulate non-debt transactions and RBI the debt transactions, both in consultation with the other for respective sphere of authority.

After a long tussle between the government and RBI, the government finally notified the Non-Debt Regulations in 2019, laying down the broader rules for portfolio investments as well as other non-debt capital account transactions.

SEBI is the market regulator. The participation of FPIs in the stock markets is regulated by SEBI, within the contours of FEMA and non-debt regulations framed by the government.